circumstances, a private company may be sold at a bargain price or accept a capital injection on favorable terms to the investor. They may suffer from a dysfunctional ownership group or poor management. While their holdings are illiquid, private equity investors gain a lever of corporate control to help drive business success and favorable investment outcomes. Control enables an investor not only to benefit from a disciplined approach, a bargain purchase, and timely buy and sell decisions, but also to enact more far-reaching measures, such as returning excess capital to the equity owners, changing a business plan, accelerating capital expenditures, making accretive acquisitions, exiting business units, and even selling the entire company.

Similarly, Graham and Dodd never addressed how to analyze direct investments in real estate (buildings of various use as well as land), a vast asset class that has become more popular with institutions. But there are bargains to be had in real estate, too, and they happen for all the same reasons—e.g., the seller has an urgent need for cash, an inability to perform proper analysis, differences in investor outlooks and time horizons, or investor disfavor or neglect. In a difficult real estate climate, tighter lending standards can constrain would-be buyers and cause even healthy properties to sell at distressed prices. Every building and every parcel of land can be seen as a candidate for investment; each holds the possibility of being mispriced. And as with private equity ownership, the owner of a building or land parcel has a nearly endless array of options: build or not, determine rents, refurbish or repurpose the building, finance or refinance, or exit. Graham and Dodd's principles—such as the stability of cash flows, sufficiency of return, analysis of downside risk, debt coverage ratios, and contingency analysis of what can go wrong—allow investors to identify real estate investments with a margin of safety in any market environment.